

Good news, and bad: On the economy

As **retail inflation ebbs**, Government must focus on improving farmer income

India's March retail inflation was down to a near six-year low of 3.34%, making it almost certain that the Reserve Bank of India (RBI) will cut its banks' lending rate further over the next few **Monetary Policy Committee** meetings. The **repo rate** has already been cut twice **in a row**, by 25 **basis points** (bps) each, in February and April, bringing it down from 6.5% to 6%, **signalling** the emphasis on growth, **amid** global trade uncertainties, as the RBI's **concern** over non-core inflation **eases**. Vegetable prices have **plummeted** over the past four months from the highs of October 2024, when food inflation **peaked** at 10.87%, the highest since November 2013. Food inflation in March fell to 2.69% **aided** by a **contraction** in the prices of vegetables (-7.04%), eggs (-3.16%) and pulses (-2.73%). The repo rate reduction has already begun translating into lower interest on bank loans. In normal times, this would translate into greater capital flows into businesses, **thereby** raising jobs, incomes and consumption. But it comes at a time of **dampening** investor confidence: U.S.-led tariff uncertainty is forcing exporters to **scramble** for newer markets, amid a concern over near-term demand contraction, as America has been India's largest buyer of **merchandise goods** since **fiscal year** 2022. Easing inflation could raise domestic consumption and India's **sluggish** industrial production.

What must concern policymakers more should be the **steep** fall in food prices, as this means lower farmer incomes, directly impacting rural consumption demand. Last December, the government **procured** eight tonnes of tomatoes in Kurnool, Andhra Pradesh, as prices in the local market plummeted to ₹1 a kilogram. In February this year, in Maharashtra and Madhya Pradesh, an 80% fall in tomato prices forced farmers to **dump produce** or use them as cattle feed. A 2022 **study** by the Ministry of Food Processing **pegged** India's post-harvest loss at a **whopping** ₹1.52 trillion annually, ranging between 6% to 15% of produce depending on the crop and region. This is due to **widespread** shortages in cold storage facilities and temperature-controlled transport for **perishables**, and market **inaccessibility** for farmers. A significant **86%** of Indian farmers **make** a living from less than two hectares of land. A 2021-22 NABARD survey pegged average monthly agricultural household income at ₹13,661. A more comprehensive NSSO 2019 survey estimates this to be ₹10,218. These figures are lower than those in other emerging **economies** such as China, Mexico and Brazil for the corresponding years. While rural consumption has been rising since the COVID-19 pandemic years, monthly **per capita** consumption expenditure for rural areas in fiscal 2024 was ₹4,122, while in urban areas, it was ₹6,996, indicating the significant gap that must be viewed as an opportunity, at a time when export growth is expected to be sluggish.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

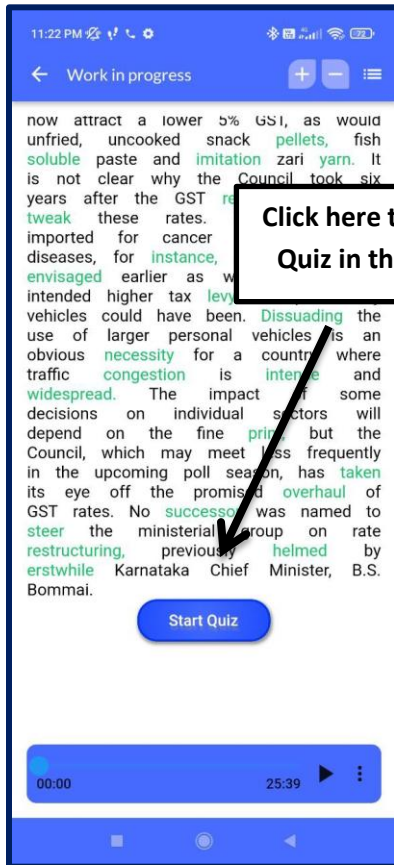
1. **Retail inflation** (noun) – the rate at which the prices of goods and services bought by consumers for their personal use increase over time खुदरा मुद्रास्फीति
2. **Ebb** (verb) – decline, recede, decrease, subside, diminish घट जाना
3. **Monetary Policy Committee** (noun) – a statutory body in India, tasked with determining the policy interest rate (repo rate) to achieve the inflation target set by the Government of India मौद्रिक नीति समिति
4. **Repo rate** (noun) – the interest rate at which the Reserve Bank of India (RBI) loans money to commercial banks.
5. **In a row** (phrase) – consecutively, successively, back-to-back, continuously, without interruption लगातार
6. **Basis point** (noun) – 100 basis point = 1%
7. **Signal** (verb) – indicate, show, convey, announce, demonstrate संकेत देना
8. **Amid** (preposition) – during, in the midst of, while, in the context of, surrounded by के बीच
9. **Ease** (verb) – lessen, reduce, alleviate, soften, decrease कम होना
10. **Plummet** (verb) – fall, drop, decline, tumble, crash तेजी से गिरना
11. **Peak** (verb) – top, climax, reach the highest point, culminate, crest चरम पर पहुँचना
12. **Aid** (verb) – help, assist, support, facilitate, contribute मदद करना
13. **Contraction** (noun) – decline, shrinkage, reduction, fall, downturn संकुचन
14. **Thereby** (adverb) – thus, as a result, by that means, consequently, hence इस प्रकार
15. **Dampen** (verb) – weaken, reduce, dull, diminish, discourage मंद करना
16. **Scramble** (verb) – rush, hustle, compete, scurry, jostle हड़बड़ी में प्रयास करना
17. **Merchandise goods** (noun) – refers to goods that are bought and sold, especially in a retail setting व्यापारिक वस्तुएं
18. **Fiscal year** (noun) – It starts from 1 April and ends with 31 March. वित्तीय वर्ष
19. **Sluggish** (adjective) – slow, stagnant, lethargic, inactive, dull सुस्त
20. **Steep** (adjective) – sharp, drastic, severe, sudden, excessive तीव्र
21. **Procure** (verb) – acquire, purchase, obtain, buy, secure प्राप्त करना/ खरीदना
22. **Dump** (verb) – discard, dispose, throw away, offload, unload फेंकना / बेकार करना

23. **Produce** (noun) – crops, farm output, agricultural products, harvest, food items
कृषि उपज
24. **Peg** (verb) – estimate, fix, set, value, assess
अनुमान लगाना
25. **Whopping** (adjective) – huge, massive, enormous, gigantic, immense बहुत बड़ा
26. **Widespread** (adjective) – extensive, prevalent, far-reaching, broad, common
व्यापक
27. **Perishable** (noun) – spoilable item, fresh produce, short-lived goods, easily ruined food खराब होने वाली वस्तु
28. **Inaccessibility** (noun) – unavailability, remoteness, obstruction, difficulty to reach, lack of access अभिगम्यता की कमी
29. **Economies** (noun) – countries in terms of GDP अर्थव्यवस्थाएं
30. **Per capita** (adjective) – per person, per head, average per individual, individual-level प्रति व्यक्ति

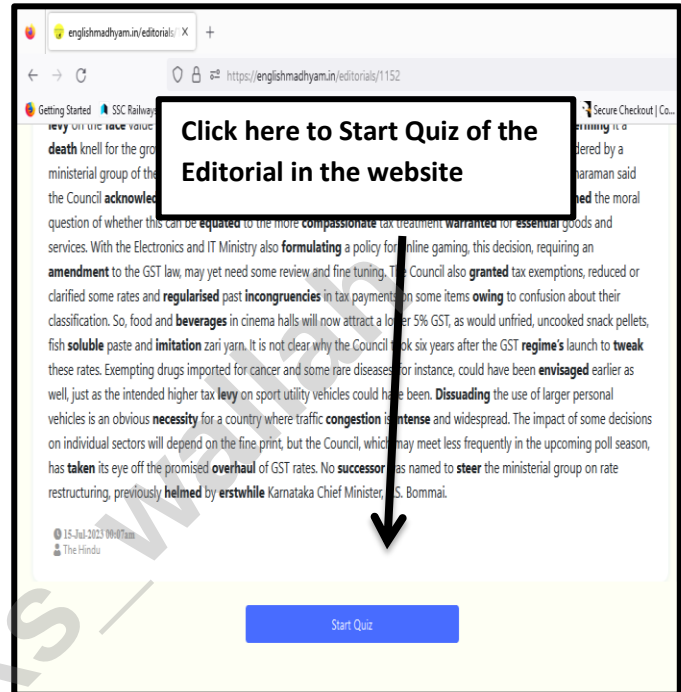
Summary of the Editorial

1. **Retail inflation** in India fell to **3.34% in March 2025**, the lowest in nearly six years.
2. This fall increases the likelihood of **further repo rate cuts** by the Reserve Bank of India (RBI).
3. The RBI has already cut the repo rate **twice in 2025**, from 6.5% to **6%**, to boost growth.
4. **Food inflation** dropped to **2.69%**, driven by price contractions in **vegetables (-7.04%)**, **eggs (-3.16%)**, and **pulses (-2.73%)**.
5. The fall in interest rates is **lowering bank loan costs**, which normally supports **investment, jobs, and consumption**.
6. However, **global trade uncertainties** and **U.S.-led tariff tensions** are dampening **investor confidence**.
7. The U.S. being India's **largest goods importer since 2022**, export dependence is a concern amid weak global demand.
8. While **lower inflation** may boost **domestic consumption**, it also **hurts farmer incomes** due to crashing food prices.
9. Example: In **Kurnool, Andhra Pradesh**, tomatoes sold for just **₹1/kg** in December 2024, prompting government intervention.
10. In February 2025, **tomato prices fell 80%** in Maharashtra and Madhya Pradesh, causing farmers to **discard produce or feed cattle**.
11. A **2022 study** estimated **post-harvest losses** in India at **₹1.52 trillion annually**, mainly due to **storage and transport issues**.
12. The lack of **cold storage and market access** severely limits income potential for farmers.
13. Around **86% of Indian farmers** work on **less than 2 hectares** of land, making them especially vulnerable.
14. **Average monthly agricultural income** is low: ₹13,661 (NABARD, 2021–22) and ₹10,218 (NSSO, 2019), much below other emerging economies.
15. With **urban–rural consumption gap** still wide (₹6,996 vs ₹4,122 per capita), boosting **rural income** is a key **economic opportunity**, especially as export growth slows.

Practice Exercise: Banking Pattern Based



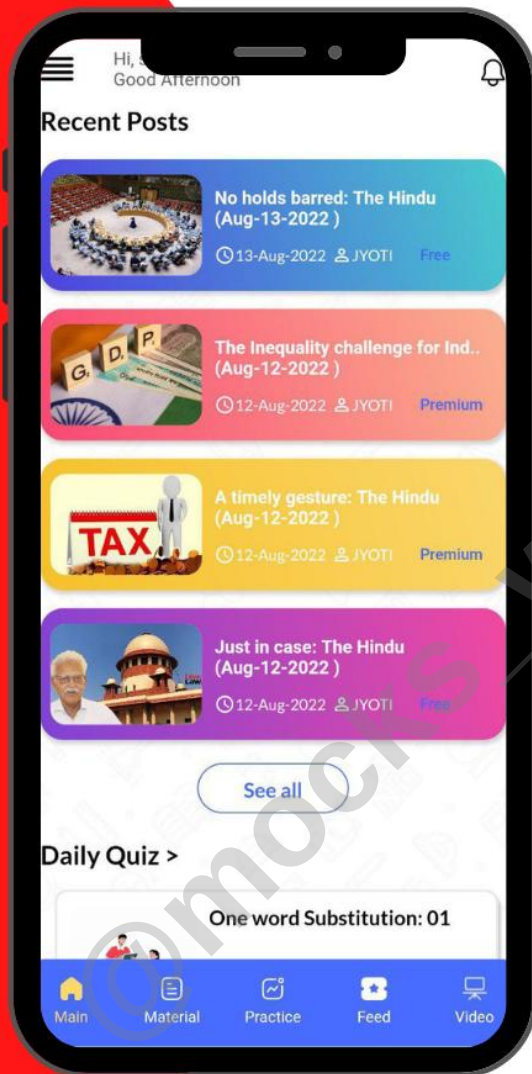
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